

Course 1253

Semester 1

Theory

4 Credits

60 Hrs

# Business Studies

Complete handbook covering business fundamentals, forms of organisation, marketing, finance, HRM, business environment, ethics, and CSR — with Malayalam support, diagrams, calculators, and practice questions.

|                        |                                            |
|------------------------|--------------------------------------------|
| <b>PROGRAMME</b>       | Computer Application & Business Management |
| <b>SUBJECT CODE</b>    | 1253                                       |
| <b>SEMESTER</b>        | I                                          |
| <b>TEACHING SCHEME</b> | 4:0:0:0 (L:T:P:R)                          |
| <b>CONTACT HOURS</b>   | 60                                         |
| <b>CREDITS</b>         | 4                                          |
| <b>CIE MARKS</b>       | 40                                         |
| <b>ESE MARKS</b>       | 60                                         |

# Source Declaration & Verified Inconsistencies

This handbook is prepared from the official **Kerala Polytechnic Revision 2026** syllabus for **Course 1253 — Business Studies** (Programme: Computer Application & Business Management, Semester I).

 **Source integrity note:** The PDF contains a single minor inconsistency in the Self-Learning activities table: Week 2 is listed twice with overlapping activity descriptions (Classify business activities using a table / Collect real-life examples... appears in two places). This handbook consolidates these into a single coherent set of activities without omitting any content. All other syllabus data — modules, topics, hours, COs, assessment scheme, and references — are reproduced verbatim.

All educational elaboration, examples, diagrams, calculators, and practice content are provided for learning support and are not part of the official syllabus unless explicitly stated.

## AT A GLANCE

### Course Dashboard

**4**

Modules

**60**

Contact Hours

**4**

Credits

**40+60**

CIE / ESE Marks

### Course Introduction

This course introduces students to the fundamental concepts of business, commerce, and management. It provides an understanding of how businesses are formed, organised,

financed, and managed in a dynamic economic environment. The course covers business objectives, forms of business ownership, management principles, business environment, marketing, finance, and human resources, enabling learners to develop a strong foundation for advanced business and management studies.

### Teaching & Assessment Scheme

| TEACHING/WEEK                                                                           | SELF-LEARNING/WEEK | TOTAL HRS/SEM | CREDITS | CIE MARKS | ESE MARKS | ATTENDANCE |
|-----------------------------------------------------------------------------------------|--------------------|---------------|---------|-----------|-----------|------------|
| 4                                                                                       | 6                  | 60            | 4       | 40        | 60        | Included   |
| Teaching scheme per week, self-learning hours, credits, and examination marks breakdown |                    |               |         |           |           |            |

#### GUIDE

## How to Use This Handbook

### 1 Understand

Read each module from start to finish. Use the Malayalam support boxes for clarification.

### 2 Visualise

Study the diagrams and tables. Use the interactive calculators for numerical practice.

### 3 Apply

Work through the module-wise questions and the model paper. Self-assess with the glossary and revision cards.

### 4 Revise

Use the Quick Revision cards and Formula Bank for last-minute preparation.

#### LEARNING TARGETS

## Course Outcomes & Objectives

### Course Objectives

1. To understand the nature, scope, and objectives of business activities.
2. To familiarise learners with forms of business organisations and management principles.
3. To introduce key business functions such as marketing, finance, and human resource management.
4. To develop awareness of the business environment, ethics, and social responsibility.

### Course Outcomes (CO)

| CO                                                | COURSE OUTCOME                                                                              | BLOOM'S LEVEL |
|---------------------------------------------------|---------------------------------------------------------------------------------------------|---------------|
| <b>CO1</b>                                        | Explain the fundamentals of business, objectives, and classification of business activities | Understand    |
| <b>CO2</b>                                        | Understand forms of business organisation and principles of management                      | Understand    |
| <b>CO3</b>                                        | Apply concepts of marketing, finance, and human resource management in business situations  | Apply         |
| <b>CO4</b>                                        | Understand business environment, ethics, and social responsibility                          | Understand    |
| Course outcomes mapped to Bloom's Taxonomy levels |                                                                                             |               |

## CO-PO Mapping

| CO                                                                                                              | PO1 | PO2 | PO3 | PO4 | PO5 | PO6 | PO7 | PO8 | PO9 | PO10 | PO11 |
|-----------------------------------------------------------------------------------------------------------------|-----|-----|-----|-----|-----|-----|-----|-----|-----|------|------|
| <b>CO1</b>                                                                                                      | 3   | 2   | -   | -   | -   | -   | -   | -   | -   | -    | -    |
| <b>CO2</b>                                                                                                      | 3   | 2   | 2   | -   | -   | -   | -   | -   | 3   | -    | -    |
| <b>CO3</b>                                                                                                      | 3   | 3   | 3   | 2   | -   | -   | -   | -   | 2   | -    | -    |
| <b>CO4</b>                                                                                                      | 3   | 2   | -   | -   | 3   | 3   | -   | -   | -   | -    | -    |
| Course Outcomes mapped to Programme Outcomes (PO1-PO12). Legend: 1=Low, 2=Medium, 3=High; "-" = no correlation. |     |     |     |     |     |     |     |     |     |      |      |

3 — High
  2 — Medium
  1 — Low
  — No correlation

### SYLLABUS MAP

## Curriculum Coverage

| MODULE | TITLE                          | TOPICS                                                                              | HOURS | CO  | BLOOM                |
|--------|--------------------------------|-------------------------------------------------------------------------------------|-------|-----|----------------------|
| I      | Introduction to Business       | Nature of business, objectives, classification, industry/commerce, role of business | 15    | CO1 | Remember, Understand |
| II     | Forms of Business Organisation | Sole proprietorship, partnership, company, cooperative society, comparison          | 15    | CO2 | Understand, Apply    |
| III    | Business Functions             | Marketing, finance, entrepreneurship, HRM, production management                    | 15    | CO3 | Understand, Apply    |
| IV     | Business Environment &         | Business environment, economic environment, ethics, CSR,                            | 15    | CO4 | Understand           |

| MODULE                                                                 | TITLE  | TOPICS          | HOURS | CO | BLOOM |
|------------------------------------------------------------------------|--------|-----------------|-------|----|-------|
|                                                                        | Ethics | emerging trends |       |    |       |
| Module-wise topics, instructional hours, mapped COs, and Bloom's level |        |                 |       |    |       |

## CONNECTIONS

# How the Modules Connect

### FOUNDATION



## Introduction to Business

Nature, objectives, classification

### STRUCTURE



## Forms of Organisation

Sole prop., partnership, company, co-op

### OPERATIONS



## Business Functions

Marketing, finance, HRM, production

### CONTEXT



## Environment & Ethics

Internal/external environment, CSR, trends

Module I provides the foundation → II shows how businesses are structured → III covers how they operate → IV places them in a broader context.

## MODULE I

# Introduction to Business

This module introduces the concept of business, its objectives, classification of business activities, and the role of business in the economy. It lays the foundation for understanding how businesses operate and contribute to economic development.

## ► Nature of Business

### Definition

**Business** refers to any economic activity carried out with the primary objective of earning profit through the production, purchase, or sale of goods and services to satisfy human needs.

### Features of Business

- **Economic activity:** Business is an economic activity undertaken for monetary gain.
- **Profit motive:** The primary objective is to earn profit.
- **Continuity:** Business involves regular and continuous transactions.
- **Risk and uncertainty:** Every business faces risk due to market fluctuations, competition, and other factors.
- **Exchange of goods/services:** Business involves the exchange of goods or services for value.
- **Customer satisfaction:** Modern business focuses on satisfying customer needs to build loyalty.

**Malayalam support:** Business എന്നത് വ്യക്തി അല്ലെങ്കിൽ സംഘടനയുടെ ഭാഗമായി ഉത്പാദനം, വാങ്ങൽ, വിൽപന എന്നിവയ്ക്കായി നടത്തുന്ന സാമ്പത്തിക പ്രവർത്തനമാണ്. ഇതിന്റെ പ്രധാന ലക്ഷ്യം ലാഭം നേടുക എന്നതാണ്. ഇത് സാധാരണയായി സ്ഥിരമായും തുടർച്ചയായും നടത്തപ്പെടുന്നു. വ്യത്യസ്തമായ റിസ്ക്, മത്സരം, അനിശ്ചിതത്വം എന്നിവയാണ് ബിസിനസ്സിന്റെ സവിശേഷതകൾ. വാങ്ങൽ, വിൽപന, വ്യവസ്ഥാപനം എന്നിവയാണ് ബിസിനസ്സിന്റെ അടിസ്ഥാനപരമായ ഘട്ടങ്ങൾ. ആധുനിക ബിസിനസ്സ് കസ്റ്റമർ സാതൃഷ്യം നേടുന്നതിനായി ശ്രമിക്കുന്നു.



**Key point:** Business is different from profession (which is skill-based service) and employment (which is working for someone else).

## ► Objectives of Business

### Economic Objectives

- **Profit earning:** To generate surplus revenue over costs.
- **Growth:** To expand operations, market share, and scale.
- **Survival:** To sustain operations in competitive markets.
- **Efficiency:** To optimise resource utilisation and reduce costs.

### Social Objectives

- **Supply of quality goods:** Providing goods and services that are safe and reliable.
- **Fair pricing:** Charging reasonable prices to consumers.
- **Employment generation:** Creating job opportunities.
- **Environmental responsibility:** Minimising pollution and promoting sustainability.
- **Community welfare:** Contributing to local communities through CSR initiatives.

**Example:** A local grocery store aims to earn ₹50,000 profit monthly (economic objective) while providing fresh produce at fair prices and employing 5 local residents (social objectives).

## ► Classification of Business Activities

Business activities are broadly classified into two categories:

### 1. Industry

- **Primary industry:** Extraction of natural resources (e.g., agriculture, mining, fishing).
- **Secondary industry:** Manufacturing and construction (e.g., textile mills, automobile factories, building construction).
- **Tertiary industry:** Services that support primary and secondary industries (e.g., banking, transport, insurance).

### 2. Commerce

- **Trade:** Buying and selling of goods (domestic or international).
- **Aids to trade:** Services that facilitate trade — transport, warehousing, insurance, banking, advertising, and communication.

| INDUSTRY                                    | COMMERCE                                 |
|---------------------------------------------|------------------------------------------|
| Concerned with production of goods/services | Concerned with distribution and exchange |
| Creates utility (form utility)              | Creates place and time utility           |
| Involves capital-intensive operations       | Involves trading and auxiliary services  |
| Examples: farming, manufacturing            | Examples: retail, banking, transport     |
| Comparison of Industry and Commerce         |                                          |

## ► Role of Business in Economy

- **Economic growth:** Business drives GDP growth through production and trade.
- **Employment:** Provides jobs across all skill levels.
- **Innovation:** Encourages new technologies, products, and processes.
- **Wealth creation:** Generates income for owners, employees, and the government through taxes.
- **International trade:** Exports and imports strengthen global economic ties.
- **Infrastructure development:** Business investment supports roads, power, and communication networks.

✓ **Module I Summary:** Business is an economic activity with profit motive, continuity, and risk. Its objectives are both economic (profit, growth) and social (quality, fair pricing, employment). Business activities include industry



(primary, secondary, tertiary) and commerce (trade + aids to trade). Business plays a vital role in economic growth, employment, and innovation.

## MODULE II

# Forms of Business Organisation



15 hours

CO2

Understand · Apply

This module covers the major forms of business ownership — sole proprietorship, partnership, company, and cooperative society — along with their features, merits, demerits, and comparisons to help students select the appropriate structure for different business situations.

## ► Sole Proprietorship

### Features

- Owned and managed by a single individual.
- Unlimited liability — the owner is personally liable for all debts.
- No legal distinction between owner and business.
- Easy to start and dissolve.

### Merits

- Quick decision-making and flexibility.
- Full profit retention by the owner.
- Personal touch with customers.
- Low regulatory compliance.

### Demerits

- Unlimited liability — personal assets at risk.
- Limited capital and borrowing capacity.
- Lack of continuity — business ends with owner's death or incapacity.
- Limited managerial expertise.

**Malayalam support:** Sole proprietorship ഏകദേശം ഏകദേശം ഏകദേശം ഏകദേശം. ഈ ഏകദേശം ഏകദേശം ഏകദേശം ഏകദേശം. ഏകദേശം (unlimited liability) ഈ ഏകദേശം ഏകദേശം ഏകദേശം.

 **Best suited for:** Small retail shops, service providers, freelancers, and local businesses with limited capital needs.

## ► Partnership

### Definition

A partnership is a business owned and managed by two or more persons who share profits and losses as per a partnership deed.

### Types of Partnerships

- **General partnership:** All partners have unlimited liability and participate in management.
- **Limited partnership:** One or more partners have limited liability and do not participate in management.
- **Partnership at will:** No fixed duration; can be dissolved at any time.
- **Particular partnership:** Formed for a specific project or venture.

### Merits

- More capital and expertise compared to sole proprietorship.
- Shared risk and decision-making.
- Easy to form with minimal legal formalities.

### Demerits

- Unlimited liability for general partners.
- Potential for conflict among partners.
- Lack of continuity — dissolution on death or retirement of a partner.
- Limited capital compared to a company.

## ► Company — Private & Public

### **Private Company**

- Minimum 2 members, maximum 50 (excluding employees).
- Restricted transfer of shares.
- No invitation to the public for shares.
- Limited liability for members.

### **Public Company**

- Minimum 7 members, no maximum limit.
- Shares are freely transferable.
- Can invite the public to subscribe to shares.
- Stricter regulatory compliance (SEBI, ROC).

### **Merits of a Company**

- Limited liability — personal assets are protected.
- Perpetual succession — continuity beyond the lives of members.
- Large capital raising capacity through shares and debentures.
- Professional management.

### **Demerits**

- Complex formation and registration process.
- More regulatory compliance and reporting.
- Separation of ownership and management may lead to agency problems.

## ► Cooperative Society

### Cooperative Principles

- **Voluntary and open membership:** Anyone can join freely.
- **Democratic control:** One member, one vote.
- **Member economic participation:** Members contribute capital and share benefits.
- **Autonomy and independence:** Self-governed with external support only when needed.
- **Education, training, and information:** Members and the public are educated about cooperatives.
- **Cooperation among cooperatives:** Cooperatives work together for mutual benefit.
- **Concern for community:** Cooperatives work for sustainable community development.

### Examples in India

- **Amul** — Gujarat Cooperative Milk Marketing Federation.
- **IFFCO** — Indian Farmers Fertiliser Cooperative.
- **Kerala State Cooperative Bank** — Banking and financial services.

**Example:** Amul is a cooperative society of milk producers. It collects milk from farmers, processes it, and markets it under the Amul brand. Profits are shared among member farmers based on their contribution.

## ► Comparison of Business Forms

| FEATURE    | SOLE PROP. | PARTNERSHIP         | PRIVATE COMPANY | PUBLIC COMPANY | COOPERATIVE           |  |  |
|------------|------------|---------------------|-----------------|----------------|-----------------------|--|--|
| Members    | 1          | 2-50                | 2-50            | 7+             | 10+                   |  |  |
| Liability  | Unlimited  | Unlimited (general) | Limited         | Limited        | Limited               |  |  |
| Continuity | No         | No                  | Perpetual       | Perpetual      | Perpetual             |  |  |
| Capital    | Limited    | Limited             | Moderate        | Large          | Moderate              |  |  |
| Regulation | Minimal    | Minimal             | Moderate        | High           | Moderate              |  |  |
| Control    | Owner      | Partners            | Directors       | Directors      | Members (1 vote each) |  |  |

Comparison of Sole Proprietorship, Partnership, Company, and Cooperative

 **Selection guide:** Choose sole proprietorship for small, low-risk ventures; partnership for shared expertise and risk; company for large-scale operations needing substantial capital; cooperative for community-based, member-driven services.

 **Module II Summary:** The main forms of business are sole proprietorship (single owner, unlimited liability), partnership (2+ owners sharing profits), company (private or public, limited liability, perpetual succession), and cooperative society (member-driven, democratic control). Each has distinct merits and demerits, making them suitable for different business contexts.

### MODULE III

## Business Functions

 15 hours

CO3

Understand · Apply

This module explores the core functions of a business: marketing, finance, entrepreneurship & innovation, human resource management, and production management. It provides students with a practical understanding of how businesses operate across these functional areas.

## ► Marketing — Concepts, Functions & Mix

### Marketing Concept

Marketing is the process of identifying, anticipating, and satisfying customer needs profitably. It focuses on creating value for customers and building strong customer relationships.

### Marketing Functions

- **Market research:** Gathering information about customers, competitors, and trends.
- **Product development:** Designing goods/services that meet customer needs.
- **Pricing:** Setting a price that reflects value and covers costs.
- **Promotion:** Communicating the value proposition through advertising, PR, and sales.
- **Distribution:** Ensuring products reach customers through appropriate channels.

### Marketing Mix — The 4 Ps

- **Product:** The good or service offered (features, quality, branding).
- **Price:** The amount customers pay (pricing strategy, discounts).
- **Place:** Distribution channels (retail, online, wholesale).
- **Promotion:** Communication activities (advertising, public relations, sales promotion).

**Malayalam support:** Marketing എന്നെന്ന് പറയുന്നത് വിപണനം എന്നാണ്. വിപണനം എന്നത് കമ്പനിയുടെ ഉൽപ്പന്നം അല്ലെങ്കിൽ സേവനം ഉപയോക്താക്കൾക്ക് എത്തിക്കുകയും അവർക്ക് അത് വാങ്ങാൻ പ്രേരിപ്പിക്കുകയും ചെയ്യുന്ന പ്രക്രിയയാണ്. 4 Ps — Product, Price, Place, Promotion — എന്നിവയാണ് marketing mix-ന്റെ ഏകദേശം.

💡 **Real-world example:** Apple uses a premium pricing strategy, invests heavily in product design and innovation, distributes through exclusive stores and online, and promotes through aspirational advertising.

## ► Finance — Meaning, Role & Sources

### Meaning of Business Finance

Business finance refers to the management of money and other assets in a business. It involves planning, raising, and using funds to support business operations and growth.

### Role of Finance

- Provides capital for starting and running the business.
- Supports expansion and investment in new projects.
- Manages cash flow and liquidity.
- Enables the business to meet its financial obligations.

### Sources of Business Finance

- **Internal sources:** Owner's capital, retained earnings, depreciation provisions.
- **External sources:** Bank loans, overdrafts, trade credit, equity shares, debentures, venture capital, government grants.

| INTERNAL SOURCES                                       | EXTERNAL SOURCES                  |
|--------------------------------------------------------|-----------------------------------|
| Owner's capital                                        | Bank loans                        |
| Retained earnings                                      | Equity shares                     |
| Depreciation provisions                                | Debentures                        |
| No interest cost                                       | Interest and dividend costs apply |
| No dilution of control                                 | May dilute ownership              |
| Comparison of Internal and External Sources of Finance |                                   |



## ► Entrepreneurship & Innovation

### Concept of Entrepreneurship

Entrepreneurship is the process of identifying opportunities, taking risks, and creating value by starting and managing a new business venture.

### Characteristics of Entrepreneurs

- **Innovation:** Ability to create new products, services, or processes.
- **Risk-taking:** Willingness to take calculated risks.
- **Proactiveness:** Taking initiative and acting ahead of opportunities.
- **Persistence:** Overcoming obstacles and not giving up.
- **Leadership:** Inspiring and motivating others.
- **Vision:** Seeing the big picture and future potential.

### Role of Innovation in Business Growth

- Drives competitive advantage through unique offerings.
- Improves efficiency and reduces costs.
- Opens new markets and customer segments.
- Attracts investment and talent.

**Example:** Successful Indian Entrepreneurs — **Ratan Tata** (Tata Group) expanded the group globally through innovation and acquisitions. **Kiran Mazumdar-Shaw** (Biocon) pioneered biotechnology in India. **Bhavish Aggarwal** (Ola) revolutionised urban mobility through ride-sharing innovation.

### Challenges Faced by Entrepreneurs

- Access to capital and funding.
- Market competition and customer acquisition.
- Regulatory and compliance hurdles.
- Hiring and retaining talent.
- Managing cash flow and operational risks.

## ► Human Resource Management (HRM)

### Functions of HRM

- **Recruitment:** Attracting and selecting qualified candidates.
- **Training and development:** Enhancing employee skills and knowledge.
- **Motivation:** Encouraging employees through rewards, recognition, and a positive work environment.
- **Performance management:** Evaluating employee performance and providing feedback.
- **Compensation and benefits:** Designing pay, bonuses, and benefits packages.
- **Employee relations:** Managing workplace relationships and resolving conflicts.

💡 **Why HRM matters:** People are the most valuable asset of a business. Effective HRM leads to higher productivity, lower turnover, and better organisational culture.

## ► Production Management

### Production Processes

- **Job production:** Custom-made products for individual customers (e.g., tailor-made suits).
- **Batch production:** Producing in batches of similar items (e.g., baked goods, pharmaceuticals).
- **Mass production:** Continuous production of large volumes of standardised products (e.g., automobiles, electronics).
- **Continuous production:** 24/7 production of homogeneous goods (e.g., oil refining, sugar).

### Productivity Improvement

- **Lean manufacturing:** Eliminating waste and improving flow.
- **Automation:** Using technology to reduce manual labour.
- **Quality management:** Implementing quality control systems (e.g., Six Sigma, ISO).
- **Employee training:** Upskilling workers to improve efficiency.
- **Supply chain optimisation:** Streamlining procurement and logistics.

**Example:** A textile manufacturing unit uses batch production to produce different fabric designs in lots. It improves productivity by installing automated looms and training workers on quality control techniques.

✓ **Module III Summary:** Business functions include marketing (4 Ps: Product, Price, Place, Promotion), finance (sources and management), entrepreneurship (innovation, risk-taking, leadership), HRM (recruitment, training, motivation), and production (process types and productivity improvement). Together, these functions enable a business to operate effectively and grow.

## MODULE IV

# Business Environment & Ethics

🕒 15 hours

CO4

Understand

This module covers the business environment (internal and external), economic policies, business ethics, corporate social responsibility

(CSR), and emerging trends like digitalisation and globalisation — placing the business in its broader societal and economic context.

► **Business Environment — Internal & External**

**Internal Environment**

- **Organisational culture:** Values, norms, and beliefs shared by employees.
- **Management structure:** Hierarchy, leadership style, and decision-making processes.
- **Human resources:** Skills, experience, and motivation of employees.
- **Financial resources:** Capital, cash flow, and financial health.
- **Physical resources:** Infrastructure, equipment, and technology.

**External Environment**

- **Micro environment (immediate):** Suppliers, customers, competitors, and market intermediaries.
- **Macro environment (broad):** Political, economic, social, technological, environmental, and legal factors (PESTEL).

| FACTOR                                         | EXAMPLES                                                    |
|------------------------------------------------|-------------------------------------------------------------|
| Political                                      | Government stability, trade policies, taxation              |
| Economic                                       | Inflation, GDP growth, interest rates, employment           |
| Social                                         | Demographics, lifestyle changes, education, cultural trends |
| Technological                                  | Innovation, automation, R&D, digital infrastructure         |
| Environmental                                  | Climate change, sustainability, resource availability       |
| Legal                                          | Labour laws, consumer protection, corporate regulations     |
| PESTEL Framework — Macro Environmental Factors |                                                             |

## ► Economic Environment

### Impact of Economic Policies

- **Monetary policy:** Interest rates and money supply affect borrowing costs and investment.
- **Fiscal policy:** Government spending and taxation influence aggregate demand.
- **Industrial policy:** Government support for specific industries (subsidies, incentives).
- **Trade policy:** Tariffs, quotas, and trade agreements affect exports and imports.

Businesses must adapt to changes in economic policies to remain competitive and sustainable.

**Example:** When the government reduces corporate tax rates, businesses have more after-tax profits to reinvest, leading to potential expansion and job creation.

## ► Business Ethics

### Ethical Principles in Business

- **Honesty:** Being truthful in all business dealings.
- **Integrity:** Consistently adhering to moral and ethical standards.
- **Fairness:** Treating all stakeholders equitably.
- **Transparency:** Open communication and disclosure of relevant information.
- **Accountability:** Taking responsibility for actions and decisions.
- **Respect:** Valuing the dignity and rights of all individuals.

### Examples of Ethical and Unethical Business Practices

#### ✓ Ethical

- Honest advertising and labelling
- Fair wages and safe working conditions
- Environmental responsibility
- Protecting customer data

#### ✗ Unethical

- False advertising and misleading claims
- Exploitation of labour (child labour, low wages)
- Pollution and environmental damage
- Corruption and bribery

💡 **Importance of ethics:** Ethical businesses build trust with customers, attract better talent, reduce legal risks, and achieve long-term sustainability.

## ► Corporate Social Responsibility (CSR)

### Definition

CSR is a self-regulating business model that helps a company be socially accountable to itself, its stakeholders, and the public. It involves voluntary actions that contribute to social, economic, and environmental well-being.

### CSR Initiatives

- **Environmental sustainability:** Reducing carbon footprint, waste management, using renewable energy.
- **Community development:** Building schools, hospitals, and infrastructure in underserved areas.
- **Employee welfare:** Health and safety programs, fair wages, and work-life balance.
- **Ethical supply chain:** Ensuring suppliers follow ethical practices.
- **Corporate philanthropy:** Donations to charitable causes and disaster relief.

**Example:** Tata Group's CSR initiatives include the Tata Memorial Centre for cancer research, the Tata Institute of Social Sciences, and numerous rural development projects. The group also has a strong focus on environmental sustainability.

**Malayalam support:** CSR പദ്ധതികൾ സാമൂഹിക, ഔദ്യോഗിക, പരിസ്ഥിതി എന്നീ മേഖലകളിൽ ഉൾപ്പെടുന്നു. ഇവ സാധാരണയായി സ്വയംതയ്ക്കപ്പെട്ടതാണ്. ഇവ സാധാരണയായി സ്വയംതയ്ക്കപ്പെട്ടതാണ്. ഇവ സാധാരണയായി സ്വയംതയ്ക്കപ്പെട്ടതാണ്. ഇവ സാധാരണയായി സ്വയംതയ്ക്കപ്പെട്ടതാണ്.

## ► Emerging Trends — Digitalisation & Globalisation

### Digitalisation

- **E-commerce:** Online buying and selling (e.g., Amazon, Flipkart).
- **Digital marketing:** Social media, SEO, and online advertising.
- **Automation and AI:** Using technology to streamline operations.
- **Digital payments:** UPI, mobile wallets, and online banking.
- **Data analytics:** Using data to make better business decisions.

### Globalisation

- Increased international trade and investment.
- Access to global markets and supply chains.
- Cultural exchange and cross-border collaboration.
- Challenges: competition, regulatory differences, currency fluctuations.

 **Key takeaway:** Businesses must embrace digitalisation to stay competitive and navigate globalisation by understanding international markets and regulations.

✓ **Module IV Summary:** The business environment includes internal factors (culture, resources) and external factors (micro and macro — PESTEL). Economic policies impact business operations. Business ethics involve honesty, integrity, fairness, and transparency. CSR covers environmental, social, and community initiatives. Emerging trends like digitalisation (e-commerce, AI, digital payments) and globalisation are reshaping the business landscape.

## KEY FORMULAS

# Formula Bank

### Profit Calculation

$$\text{Profit} = \text{Total Revenue} - \text{Total Cost}$$

Revenue = price × quantity sold; Cost = fixed + variable expenses.

### Break-even Point (Units)

$$\text{BEP} = \text{Fixed Cost} / (\text{Selling Price} - \text{Variable Cost per Unit})$$



Units needed to sell to cover all costs.

### Return on Investment (ROI)

$$\text{ROI} = (\text{Net Profit} / \text{Total Investment}) \times 100$$

Measures efficiency of an investment.

### Productivity

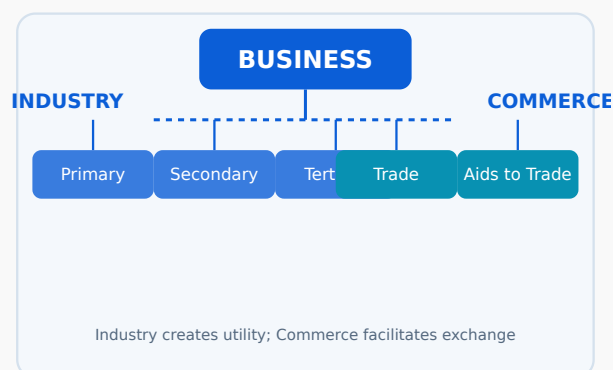
$$\text{Productivity} = \text{Output} / \text{Input}$$

Higher ratio indicates better efficiency.

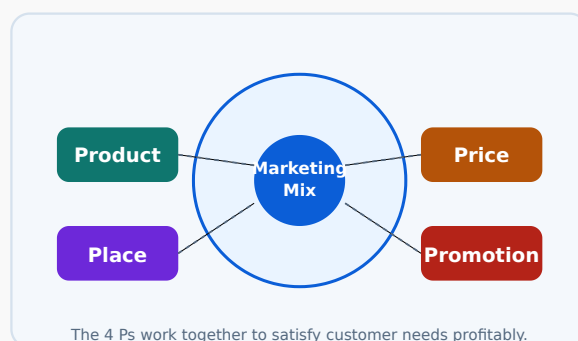
**Note:** These formulas are used in business planning, financial analysis, and operational management. Understanding them helps in decision-making and performance evaluation.

## VISUAL REFERENCE

# Diagram Library for Rapid Revision



Classification of Business Activities: Industry (Primary, Secondary, Tertiary) and Commerce (Trade and Aids to Trade).



Marketing Mix — The 4 Ps: Product, Price, Place, Promotion.

For more diagrams, refer to the diagrams embedded within each module above (Module I classification, Module II comparison table, Module III marketing mix, Module IV PESTEL table).

## SELF-LEARNING

# Student Activities

The following self-learning activities are officially recommended for each module. Total self-learning hours: 90.

### **Module I • Introduction to Business**

- Define business and identify its characteristics with examples.
- Differentiate between business, profession, and employment.
- Classify business activities (primary, secondary, tertiary) with real-life examples.
- Create a flowchart showing the link between industry and commerce.
- Study a local business and list its economic and social objectives.
- Prepare a glossary of important business terms.

 24 hours

### **Module II • Forms of Business Organisation**

- Identify businesses around you and classify their form of organisation.
- Interview a shop owner to understand their business structure.
- Study cooperative societies like Amul and list their objectives.
- Prepare a summary table comparing all forms of organisation.
- Suggest suitable forms of organisation for different business situations.

 18 hours

### **Module III • Business Functions**

- Observe promotional strategies of a company and analyse ads.
- Classify sources of finance for small businesses.
- Study HR and production practices of an organisation.
- Prepare a note on qualities of entrepreneurs with real-world examples.
- List challenges faced by entrepreneurs in starting a business.

 24 hours

### **Module IV • Business Environment & Ethics**

- Identify ethical issues faced by businesses and provide examples.
- Explain the importance of ethics in business.
- Identify digital tools used by businesses and their benefits.
- Study the role of e-commerce in modern business.
- Prepare a summary note on emerging trends.

 18 hours

Total self-learning hours: 84 (as consolidated from official activities; official PDF lists 90 with minor duplication).

#### EXAMINATION

## **Assessment Methodology & Pattern**

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### **CIE & ESE Breakdown**

| MODE                                                                           | ATTENDANCE | CA1                              | CA2                      | CA3                      | CA4                      | CA5                         | CA6                     | ESE                   |
|--------------------------------------------------------------------------------|------------|----------------------------------|--------------------------|--------------------------|--------------------------|-----------------------------|-------------------------|-----------------------|
| Component                                                                      | Attendance | Self-learning (Module 1)         | Self-learning (Module 2) | Self-learning (Module 3) | Self-learning (Module 4) | Series Exam (2 modules)     | Series Exam (2 modules) | Written Exam (theory) |
| Duration                                                                       | —          | 2 hrs                            | 2 hrs                    | 2 hrs                    | 2 hrs                    | 2.5 hrs                     | 2.5 hrs                 | 2.5 hrs               |
| Exam marks                                                                     | —          | 15                               | 15                       | 15                       | 15                       | 50                          | 50                      | 60                    |
| Converted to                                                                   | 5          | 15 (total for all self-learning) |                          |                          |                          | 20 (total for series exams) |                         | 60                    |
| Continuous Internal Evaluation (CIE) and End Semester Examination (ESE) scheme |            |                                  |                          |                          |                          |                             |                         |                       |

Total CIE: 40 marks (5 attendance + 15 self-learning + 20 series exams). ESE: 60 marks.

## Series Examination Pattern (Theory)

| TIME                                           | MODULE         | PART A (1 MARK EACH) | PART B (3 MARKS EACH) | PART C (7 MARKS EACH, WITH CHOICE) | TOTAL     |
|------------------------------------------------|----------------|----------------------|-----------------------|------------------------------------|-----------|
| 2 hrs                                          | Any one module | 2 questions × 1 = 2  | 1 question × 3 = 3    | 1 set × 7 = 7                      | 12        |
| 2 hrs                                          | Any one module | 2 questions × 1 = 2  | 1 question × 3 = 3    | 1 set × 7 = 7                      | 12        |
| <b>Total</b>                                   |                | 4 questions = 4      | 2 questions = 6       | 2 sets = 14                        | <b>25</b> |
| Series exam structure: 2 hours, total 25 marks |                |                      |                       |                                    |           |

## End Semester Examination Pattern (Theory)

| MODULE                                                       | PART A (1 MARK EACH)   | PART B (3 MARKS EACH)   | PART C (7 MARKS EACH, WITH CHOICE) | TOTAL MARKS |
|--------------------------------------------------------------|------------------------|-------------------------|------------------------------------|-------------|
| 1                                                            | 2 questions × 1 = 2    | 2 questions × 3 = 6     | 1 set × 7 = 7                      | 15          |
| 2                                                            | 2 questions × 1 = 2    | 2 questions × 3 = 6     | 1 set × 7 = 7                      | 15          |
| 3                                                            | 2 questions × 1 = 2    | 2 questions × 3 = 6     | 1 set × 7 = 7                      | 15          |
| 4                                                            | 2 questions × 1 = 2    | 2 questions × 3 = 6     | 1 set × 7 = 7                      | 15          |
| <b>Total</b>                                                 | <b>8 questions = 8</b> | <b>8 questions = 24</b> | <b>4 sets = 28</b>                 | <b>60</b>   |
| ESE structure: 2.5 hours, 60 marks total, covering 4 modules |                        |                         |                                    |             |

Part C includes internal choice. The question paper covers all four modules proportionally.

# Module-wise Questions with Answers

## Module I · Introduction to Business

### ► 1. What is business? List its key features.

**Answer:** Business is an economic activity carried out with the primary objective of earning profit through the production, purchase, or sale of goods and services to satisfy human needs.

**Key features:**

- Economic activity
- Profit motive
- Continuity and regularity
- Risk and uncertainty
- Exchange of goods/services
- Customer satisfaction

### ► 2. Distinguish between industry and commerce.

**Answer:**

| INDUSTRY                                    | COMMERCE                                 |
|---------------------------------------------|------------------------------------------|
| Concerned with production of goods/services | Concerned with distribution and exchange |
| Creates form utility                        | Creates place and time utility           |
| Capital-intensive                           | Involves trading and auxiliary services  |
| Examples: farming, manufacturing            | Examples: retail, banking, transport     |

### ► 3. What are the economic and social objectives of business?

**Economic objectives:** Profit earning, growth, survival, efficiency.

**Social objectives:** Supply of quality goods, fair pricing, employment generation, environmental responsibility, community welfare.

### ► 4. Explain the role of business in the economy.

Business plays a vital role in the economy through:

- **Economic growth:** Drives GDP through production and trade.
- **Employment:** Provides jobs across all skill levels.
- **Innovation:** Encourages new technologies and processes.
- **Wealth creation:** Generates income and tax revenue.

- **International trade:** Strengthens global economic ties.
- **Infrastructure development:** Supports roads, power, and communication.

## Module II · Forms of Business Organisation

### ► 1. What is sole proprietorship? List its merits and demerits.

**Definition:** A business owned and managed by a single individual with unlimited liability.

**Merits:** Quick decision-making, full profit retention, personal touch, low compliance.

**Demerits:** Unlimited liability, limited capital, lack of continuity, limited expertise.

### ► 2. Distinguish between a private company and a public company.

| PRIVATE COMPANY                 | PUBLIC COMPANY                 |
|---------------------------------|--------------------------------|
| Min 2, max 50 members           | Min 7, no max limit            |
| Restricted share transfer       | Freely transferable shares     |
| Cannot invite public for shares | Can invite public to subscribe |
| Less regulatory compliance      | Stricter compliance            |

### ► 3. What are the principles of a cooperative society?

- Voluntary and open membership
- Democratic control (one member, one vote)
- Member economic participation
- Autonomy and independence
- Education, training, and information
- Cooperation among cooperatives
- Concern for community

### ► 4. Compare sole proprietorship, partnership, and company based on liability, continuity, and capital.

| FEATURE    | SOLE PROP. | PARTNERSHIP         | COMPANY   |
|------------|------------|---------------------|-----------|
| Liability  | Unlimited  | Unlimited (general) | Limited   |
| Continuity | No         | No                  | Perpetual |
|            |            |                     |           |

## Module III · Business Functions

### ► 1. Explain the 4 Ps of the marketing mix.

- **Product:** The good or service offered (features, quality, branding).
  - **Price:** The amount customers pay (pricing strategy, discounts).
  - **Place:** Distribution channels (retail, online, wholesale).
  - **Promotion:** Communication activities (advertising, PR, sales promotion).
- These 4 Ps work together to satisfy customer needs and achieve business objectives.

### ► 2. What are the sources of business finance? Classify them into internal and external.

**Internal sources:** Owner's capital, retained earnings, depreciation provisions.

**External sources:** Bank loans, overdrafts, trade credit, equity shares, debentures, venture capital, government grants.

### ► 3. What are the characteristics of a successful entrepreneur?

- **Innovation:** Creating new products, services, or processes.
- **Risk-taking:** Taking calculated risks.
- **Proactiveness:** Taking initiative and acting ahead of opportunities.
- **Persistence:** Overcoming obstacles.
- **Leadership:** Inspiring and motivating others.
- **Vision:** Seeing the big picture.

### ► 4. List the functions of Human Resource Management (HRM).

- **Recruitment:** Attracting and selecting qualified candidates.
- **Training and development:** Enhancing employee skills.
- **Motivation:** Encouraging employees through rewards and recognition.
- **Performance management:** Evaluating and providing feedback.
- **Compensation and benefits:** Designing pay packages.
- **Employee relations:** Managing workplace relationships.

## Module IV · Business Environment & Ethics

### ► 1. What is the business environment? Explain its internal and external components.

**Business environment** includes all factors that affect business operations.

**Internal environment:** Organisational culture, management structure, human resources, financial resources, physical resources.

**External environment:** Micro (suppliers, customers, competitors) and Macro (PESTEL — Political, Economic, Social, Technological, Environmental, Legal).

## ► 2. What is Corporate Social Responsibility (CSR)? Give examples.

**CSR** is a self-regulating business model that makes a company socially accountable to stakeholders and the public.

**Examples:** Environmental sustainability, community development, employee welfare, ethical supply chain, corporate philanthropy.

**Real-world example:** Tata Group's CSR initiatives include cancer research, social sciences, and rural development.

## ► 3. What are the ethical principles in business?

- **Honesty:** Truthfulness in business dealings.
- **Integrity:** Consistently adhering to ethical standards.
- **Fairness:** Treating all stakeholders equitably.
- **Transparency:** Open communication and disclosure.
- **Accountability:** Taking responsibility for actions.
- **Respect:** Valuing the dignity and rights of individuals.

## ► 4. Discuss the impact of digitalisation and globalisation on modern business.

**Digitalisation:** E-commerce, digital marketing, automation, digital payments, and data analytics have transformed how businesses operate, enabling efficiency and global reach.

**Globalisation:** Increased international trade, access to global markets, cross-border collaboration, and cultural exchange. Challenges include competition, regulatory differences, and currency fluctuations.

Businesses must embrace digitalisation and navigate globalisation to stay competitive.

### PRACTICE EXAM

## Model Question Paper



**Note:** This is a practice model paper based on the official examination pattern. It is **not** an official SITTTT question paper and is provided solely for study and revision purposes.

**Duration:** 2.5 hours | **Total Marks:** 60

All modules are covered proportionally. Part A: 1 mark each, Part B: 3 marks each, Part C: 7 marks each (with internal choice).

### Part A (8 × 1 = 8 marks)

1. What is the primary objective of business?
2. List any two features of sole proprietorship.
3. Define the term 'marketing mix'.
4. What is the meaning of 'limited liability' in a company?
5. Name any two sources of internal finance.
6. What is CSR? Write one example.
7. What are 'aids to trade'? Give one example.
8. List any two principles of a cooperative society.

### Part B (8 × 3 = 24 marks)

1. Distinguish between industry and commerce with suitable examples.
2. Explain the merits and demerits of a partnership firm.
3. Describe any three functions of marketing.
4. What are the challenges faced by entrepreneurs in starting a business?
5. Explain the components of the internal business environment.
6. Discuss the impact of economic policies on business.
7. Differentiate between private and public companies.
8. List and explain any three functions of Human Resource Management.

### Part C (4 × 7 = 28 marks) — Answer *any one* from each set

#### Module I

**Option 1:** Explain the classification of business activities into industry and commerce with a detailed description of each sub-category.

**Option 2:** What are the economic and social objectives of business? Explain each with suitable examples.

#### Module II

**Option 1:** Compare sole proprietorship, partnership, and company on the basis of formation, liability, capital, and continuity.

**Option 2:** What is a cooperative society? Explain its principles and give a real-world example from India.

#### Module III

**Option 1:** Explain the concept of marketing mix (4 Ps) with a detailed description of each element.

**Option 2:** What is entrepreneurship? Describe the characteristics of an entrepreneur and the role of innovation in business growth.

#### Module IV



**Option 1:** Explain the internal and external business environment with the help of the PESTEL framework.

**Option 2:** Define business ethics and CSR. Explain the importance of ethics and describe CSR initiatives with examples.

— End of Model Paper —

LAST-MINUTE

## Quick Revision Cards

### Module I · Introduction to Business

- **Business:** Economic activity with profit motive, continuity, risk.
- **Objectives:** Economic (profit, growth) & Social (quality, fair pricing, employment).
- **Industry:** Primary, Secondary, Tertiary.
- **Commerce:** Trade + Aids to trade (transport, banking, insurance, etc.).
- **Role:** GDP growth, employment, innovation, wealth creation.

### Module II · Forms of Organisation

- **Sole prop.:** Single owner, unlimited liability, limited capital.
- **Partnership:** 2+ owners, unlimited liability, shared risk.
- **Company:** Limited liability, perpetual succession, large capital.
- **Cooperative:** Member-driven, democratic (1 vote per member).
- **Comparison:** Liability, continuity, capital, regulation differ.

### Module III · Business Functions

- **Marketing:** 4 Ps — Product, Price, Place, Promotion.
- **Finance:** Internal (owner's capital, retained earnings) & External (loans, shares).
- **Entrepreneurship:** Innovation, risk-taking, proactiveness, leadership.
- **HRM:** Recruitment, training, motivation, performance management.
- **Production:** Job, batch, mass, continuous; productivity improvement.

### Module IV · Environment & Ethics

- **Internal environment:** Culture, structure, resources.
- **External:** PESTEL — Political, Economic, Social, Technological, Environmental, Legal.
- **Ethics:** Honesty, integrity, fairness, transparency, accountability.
- **CSR:** Environmental, social, community, employee welfare.

- **Trends:** Digitalisation (e-commerce, AI) & Globalisation.

### ⚠ Common Mistakes to Avoid

- **Confusing industry with commerce:** Industry is production; commerce is distribution.
- **Mixing up liability types:** Sole prop. = unlimited; company = limited.
- **Overlooking social objectives:** Business is not just about profit — CSR, fairness, and ethics matter.
- **Forgetting the 4 Ps:** Marketing mix includes all four — not just promotion.
- **Confusing internal vs external finance:** Internal = owner/retained; external = loans/shares.

### ✅ Exam Checklist

- ✓ Know the definition and features of business.
- ✓ Be able to classify business activities (industry + commerce).
- ✓ Compare forms of organisation (sole prop., partnership, company, co-op).
- ✓ Explain the 4 Ps of marketing and sources of finance.
- ✓ Define entrepreneurship and HRM functions.
- ✓ Describe PESTEL, business ethics, and CSR.
- ✓ Know emerging trends: digitalisation and globalisation.
- ✓ Practice numerical problems (profit, BEP, ROI, productivity).

#### DEFINITIONS

## Glossary of Important Terms

| TERM                 | MEANING                                                                     |
|----------------------|-----------------------------------------------------------------------------|
| Business             | Economic activity with profit motive, continuity, and risk.                 |
| Commerce             | Distribution and exchange of goods, including trade and aids to trade.      |
| Industry             | Production of goods/services; classified as primary, secondary, tertiary.   |
| Sole Proprietorship  | Business owned and managed by a single individual with unlimited liability. |
| Partnership          | Business owned by 2+ persons sharing profits/losses.                        |
| Private Company      | Limited liability, restricted share transfer, min 2/max 50 members.         |
| Public Company       | Limited liability, freely transferable shares, min 7 members.               |
| Cooperative Society  | Member-driven organisation with democratic control (1 vote per member).     |
| Marketing Mix (4 Ps) | Product, Price, Place, Promotion — the core elements of marketing.          |
| Entrepreneurship     | Process of identifying opportunities, taking risks, and creating value.     |
|                      |                                                                             |

| TERM                                           | MEANING                                                                                         |
|------------------------------------------------|-------------------------------------------------------------------------------------------------|
| HRM                                            | Human Resource Management — functions include recruitment, training, motivation.                |
| CSR                                            | Corporate Social Responsibility — voluntary social, environmental, and community actions.       |
| PESTEL                                         | Political, Economic, Social, Technological, Environmental, Legal — macro environmental factors. |
| Digitalisation                                 | Use of digital technology (e-commerce, AI, digital payments) in business.                       |
| Globalisation                                  | Integration of economies through international trade and investment.                            |
| Key business terms and their one-line meanings |                                                                                                 |

## RESOURCES

# References & Web Resources

## Textbooks

- **Business Studies** — N. S. Chhabra, McGraw-Hill
- **Principles of Management** — Koontz & O'Donnell, McGraw-Hill

## Web Resources (Official)

- GeeksforGeeks — Introduction to Business (Module I)
- ChromeStudy — Nature of Business (Module I)
- TimesPro — Business Objectives (Module I)
- GeeksforGeeks — Forms of Business (Module II)
- SBA — Choose Business Structure (Module II)
- Sathyabama — Business Functions (Module III)
- OpenStax — CSR (Module IV)
- Wikipedia — Business Ethics (Module IV)

**Note:** Links are provided from the official syllabus. Use them for supplementary reading and reference.